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NEWSPAPER

28th JAN, 2019

5th WEEK

ITEM WISE EDITORIALS



VENEZUELA CRISIS ... LESSONS LEARNT !

UPSC CSE – GS II

GS II ... International Relations



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NEWSPAPER EDITORIALS

... DISCUSSION

28th JANUARY, 2019

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A failed coup in Venezuela

The country was once the heartbeat of leftist assertion. But with change in the Americas, matters are now complex



VIJAY PRASHAD

The fulcrum of geopolitical tension sits on Caracas, the capital of Venezuela. An attempted coup on January 23 has failed. The U.S. decided to recognise a member of the Opposition, Juan Guaidó, as the President of Venezuela. U.S. officials called upon the military to rise up against the government of President Nicolás Maduro. This was against the charters of the United Nations and of the Organisation of American States (OAS). None of that mattered. The drumbeats sounded from Washington to Caracas. There was a minor drum playing from many Latin American capitals, those whose governments had joined the Lima Group – set up in Peru in 2017 to overthrow the government of Venezuela.

There is little respite for the country, where tension sits heavily from one end to another. Thus far, the government of Mr. Maduro remains in power, and the military has pledged its fealty to the re-elected president. It is unlikely that the Venezuelan Opposition –

controlled by the old oligarchy – will be able to engineer a coup from within the country. It tried such a political manoeuvre in 2002, which failed. This time it has failed again.

Venezuela's Foreign Minister Jorge Arreaza, 45, has been understandably busy on the day after the attempted coup. The U.S. tried to isolate the Maduro government. The OAS met in Washington DC, where the U.S. government tried to get it to unanimously vote against Mr. Maduro. Even that meeting could not go as scripted. A veteran activist from Code Pink, Medea Benjamin, sneaked into the room and chanted slogans against the attempted coup. Many Latin American states, despite intense pressure from the U.S. government, either voted against the OAS motion or abstained. Mr. Arreaza watched these developments and more.

When I asked him about the coup, he went back to 2017, the last time that the oligarchy tried to wrest control of the government from the socialists. The socialists, led by Hugo Chávez, came to power in 1999. After the U.S. attempted to overthrow Chávez and the socialists in 2002, things calmed down. Oil prices rose and the U.S. was distracted by events in Iraq and Afghanistan. For a decade, Venezuela was able to lead a regional process of integration on an anti-



imperialist foundation. But, when Chávez died in 2013, the experiment began to unravel. Oil prices fell dramatically, and the U.S. had already turned its attention to Latin America. A coup in 2009 overthrew the democratically elected government of Honduras. The pinpoints turned toward Venezuela. The oligarchy, backed fully by the U.S., attempted to foment trouble in 2017.

Mr. Arreaza recalled one man, Orlando Figueroa, 28, who was going through an Opposition stronghold in May 2017. "He was accused of being a government supporter and brutally beaten by masked protesters who then soaked him in gasoline and set him on fire," Mr. Arreaza told me. He brought up this story to offer an illustration of the character of the Opposition. Mr. Arreaza called this a "violent fascist movement". He wanted to make it clear that the coup at-

tempt was a part of that movement – one that is less interested in democracy and more interested in power and wealth.

Steeped in trouble

Venezuela is in trouble. No one doubts that. Oil prices have fallen to half of what they were at the height of Chávez's government. Since the treasury of Venezuela is almost entirely replenished by the incomes from oil sales, the collapse of oil prices means the collapse of Venezuela's public finances. Unable to borrow easily, the country faces serious economic difficulties. Sanctions by the U.S. and the seizure of refining sites in the Caribbean put the country into a situation of great crisis. No wonder that people are leaving the country, fleeing their homeland as it is suffocated for political purposes by the U.S. and its Latin American allies in the Lima Group.

Colombia's Iván Duque and Brazil's Jair Bolsonaro are both right-wing politicians who control the governments of Venezuela's neighbours. They have committed themselves to the overthrow of the Venezuelan government. Mr. Arreaza and others in Venezuela told me that Mr. Duque, Mr. Bolsonaro and U.S. President Donald Trump have overplayed their hands. After the attempted overthrow in 2017, the Venezuelan government tried

to deepen public participation by the formation of a Constituent Assembly. It is true that the oligarchy hated this idea and that the western press amplified its views about this being anti-democratic. But, as many Venezuelans say, the Constituent Assembly and the many elections for candidates and referendums that came before 2017 have sharpened their political consciousness. It will be hard to be fuddle them with talk of dictatorship.

The isolation of Venezuela is remarkable. Not long ago, the country was the heartbeat of the leftist assertion in the hemisphere. Now, with the emergence of right-of-centre governments in Latin America and with an explosive energy for regime change in Washington, matters are more complex. Mr. Arreaza said that Mr. Maduro had invited the UN High Commissioner for Human Rights, Michelle Bachelet, to visit Venezuela. She has not yet come. Mr. Maduro, he said, wanted the UN to host a dialogue with the Opposition to restore some balance to the politics in the country. No such assistance has been provided. A hand is outstretched from Caracas. Mr. Arreaza said. It is waiting for someone to take hold of it.

Vijay Prashad is Executive Director, Tróika Institute for Social Research.

UPSC CSE – GS II

GS II ... International Relations

Effect of policies and politics of developed and developing countries on India's interests, Indian diaspora.

IMPORTANT QUESTION

ESSAY/ MAINS / GD / INTERVIEWS

Critically analyze the lessons to be learnt from the Venezuela crisis.

THE HINDU
INDIA'S NATIONAL NEWSPAPER SINCE 1816

26th January, 2019



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4 A failed coup in Venezuela

The country was once the heartbeat of leftist assertion. But with change in the Americas, matters are now complex. The fulcrum of geopolitical tension sits on Caracas, the capital of Venezuela. An attempted coup on January 23 has failed. The U.S. decided to recognise a member of the Opposition, Juan Guaidó, as the President of Venezuela. U.S. officials called upon the military to rise up against the government of President Nicolás Maduro. This was against the charters of the United Nations and of the Organisation of American States (OAS). None of that mattered. The drumbeats sounded from Washington to Caracas. There was a minor drum playing from many Latin American capitals, those whose governments had joined the Lima Group — set up in Peru in 2017 to overthrow the government of Venezuela.

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Caribbean Sea

VENEZUELA

GUYANA

COLOMBIA

ECUADOR

BRAZIL

PERU



NICOLAS MADURO



JUAN GUAIDO



Hugo Chávez
Former President of Venezuela



Nicolás Maduro
President of Venezuela



A SLICE INTO HISTORY ...

- 1 Venezuela's former President Hugo Chavez came to power in 1998.
- 2 He promised to fight poverty and inequality through socialism.
- 3 He nationalised huge amounts of private assets, including oil companies.
- 4 Petróleos de Venezuela is a state-run firm that controls entire oil production in Venezuela.
- 5 It was tasked with the job of exporting oil to spend the revenues on social welfare.



A SLICE INTO HISTORY ...



- 6** With this money, social welfare schemes were expanded as the Venezuela's economy is primarily dependent on oil exports.
- 7** As a result, Venezuela's poverty rate fell from 50% in 1998 to 30% in 2012.
- 8** Things became topsy turvy as oil prices tumbled from around \$ 115 per barrel in 2014 to as low as \$ 27 per barrel in 2016 and recovered subsequently.
- 9** The flow of dollars stopped and the Govt. could not fund its social spending.
- 10** It borrowed freshly.
- 11** It created Bolivars from the Central Bank.
- 12** Venezuela's money supply grew from 10.6 bn bolivars in 1998 to 290 bn bolivars in 2010 and later reached 7,513 bn bolivars by 2016
- 13** It resulted in rapid domestic price inflation and drop in the bolivars value and crippled the economy.

1 Venezuelan Opposition Leader Juan Guaido declared himself interim President.

2 He is reaching out to all the sectors including military to end the crisis.

3 The global community is split on whether to recognise his Government.

4 So far, Mr. Maduro retains crucial support of Venezuela's military. Venezuelan Opposition Leader has said he would consider an amnesty for President Nicolas Maduro, if he cedes power.

5 USA, Canada, UK and more than a dozen Latin American countries backed Mr. Guaido. After he said, he was the legitimate President, Russia condemned foreign support for Guaido, saying it violates International Law.

6 Russia, China, Mexico and Turkey backs Mr. Maduro.

There is growing political discontent. It is fuelled by skyrocketing hyper inflation, power cuts and shortages of food and medicine. More than three million Venezuelans have left the country in recent years.

7 The annual inflation rate reached 1,300,000% into 12 months in November 2018.

6 Many Venezuelans unable to freely buy the dollars turned to the black market.

5 They should provide valid reasons to buy the dollars. For example, to import goods.

4 Since then, Venezuelans wanting to exchange bolivars for dollars had to apply for a government run currency agency.

**CURIOUS
CASE OF
VENEZUELA!**

1 There were price controls, which were imposed to make basic goods more affordable to the poor, by capping the price of flour, cooking oil and toiletries.

2 This meant that the few Venezuelan businesses producing these items no longer profitable to make them.

3 Critics also blame the foreign currency controls, brought in by the President Chavez in 2003 for a flourishing black market in dollars.



Many people are leaving Venezuela. Three million Venezuelans have left the country since 2014, when the economic crisis started to bite. Most of them are fleeing to adjacent Colombia as well as to countries like Ecuador, Peru. The mass migration is one of the forced displacements in the western hemisphere.

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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

OUR TEAM

G. V. Rao

K. Srikanth

D. Sunil Kumar

L. V. Krishna

Y. Deepthi

Amrita Naidu

M. Binukrishna

G. Ravi Babu

D. Joji

K. Victor Babu

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